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Tamayo & Deming (QJE, 2026)
How Do You Identify a Good Manager?**

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1 Big picture

- **Question.** How can firms identify good managers before appointing them, when field data usually confound manager quality with team quality, store quality, and selection into management?
- **Core empirical problem.** Managers are rarely randomly assigned to teams. People who become managers are a selected group, and firms often promote people because they were good individual contributors rather than because they will be good managers.
- **Research design.** The paper uses a preregistered lab experiment with repeated random assignment of managers to teams, plus two external validation exercises: LinkedIn career outcomes and a South American retail-firm field study.
- **Main experimental result.** Managerial contributions are economically important. A one standard deviation increase in manager quality raises team performance by about 0.22 standard deviations after conditioning on the productive skills of managers and workers.
- **Self-promotion result.** People who strongly want to be managers perform worse than managers randomly assigned to the role. Teams led by self-promoted managers score roughly 0.10 standard deviations lower than teams led by lottery managers.
- **Predictor result.** Economic decision-making skill and fluid intelligence predict managerial performance in the lab. Demographics, personality traits, and stated desire to lead do not reliably identify good managers.
- **Selection mechanism result.** In the lab, selecting managers based on economic decision-making skill outperforms self-promotion, lottery assignment, emotional perceptiveness, and selecting the most individually productive workers.
- **External validity result.** Lab manager quality predicts real-world promotions among experimental participants. In a retail firm, economic decision-making skill predicts estimated store-manager fixed effects.
- **Economic magnitude.** In the field, a one standard deviation improvement in manager quality increases annual per-store sales by about US\$4.1 million to US\$5.2 million, depending on the scaling exercise, corresponding to roughly 25% of sales.
- **Mechanisms.** Good managers improve performance by monitoring bottlenecks, allocating workers according to comparative advantage, and motivating workers to exert effort. Monitoring and motivation appear especially important.
- **Managerial implication.** Firms should not rely only on self-nomination, demographics, personality, or individual production skill. Screening candidates with economic decision-making assessments and structured team-based exercises can substantially improve managerial selection.

2 Data and measurement

2.1 Lab sample and experimental setting

- The main evidence comes from a preregistered lab experiment with 555 participants recruited from the Essex Economics Lab sample pool.
- Participants take individual assessments and then participate in repeated three-person group tasks.
- Sessions contain 12, 15, or 18 people and last roughly two hours.
- There are two experimental arms. In 19 sessions managers are selected by lottery. In 20 sessions managers are selected by self-promotion, meaning participants with the strongest stated preference to manage are assigned to the manager role.
- Participants do not know the selection mechanism when they state how much they want to be the manager. This is important because stated desire to lead is elicited before participants know whether that preference will determine the role.
- Across the experiment, managers are assigned to multiple teams. This repeated randomization is the key design feature that separates manager quality from worker quality and idiosyncratic team-match effects.

Interpretation: The experiment is designed to mimic a core feature of real management: the manager coordinates, monitors, allocates, and motivates workers who have heterogeneous skills. Because managers and workers are repeatedly randomized across teams, the design creates causal variation in exposure to specific managers.

2.2 Individual assessments

The individual phase measures both productive capacity and candidate characteristics.

- **Task skills.** Participants solve numerical, spatial, and analytical problems individually before the group task. These scores measure individual productive capacity.
- **Fluid intelligence.** The paper uses Raven’s Advanced Progressive Matrices.
- **Economic decision-making.** The paper uses the Assignment Game from Caplin et al. (2024), a measure of economic decision-making skill.
- **Emotional perceptiveness.** The paper uses the Reading the Mind in the Eyes Test (RMET).
- **Personality and style.** Measures include Big Five traits, political skill, and a self-reported risk appetite measure.
- **Willingness to manage.** Participants rate how much they want to be the manager on a 1–10 scale after reading a description of the manager role.

Interpretation: The paper separates three concepts that firms often conflate: individual productivity, preference for leadership, and actual management skill. This distinction is central to the paper because a good worker or a confident self-promoter need not be a good manager.

2.3 Collaborative production task

- Groups contain one manager and two workers.
- The task has three modules: numerical reasoning, spatial reasoning, and analytical reasoning.
- Groups score points for correct answers and lose points for incorrect answers.

- The manager is responsible for delegation, coordination, and making decisions. The manager must allocate workers to modules and monitor progress.
- Workers do not have direct performance incentives tied to their individual output; this makes motivation and coordination important managerial channels.
- Group scores are normalized by round, so that each round has mean zero and standard deviation one.

Interpretation: The collaborative task is designed to make management productive rather than symbolic. A good manager must allocate scarce worker time, notice bottlenecks, and motivate effort. The experimental output therefore contains a plausible management component rather than only individual problem-solving skill.

2.4 Treatment arms: lottery versus self-promotion

- In the lottery arm, one-third of participants are randomly assigned to manage.
- In the self-promotion arm, participants with the highest stated desire to manage are assigned to manage.
- The treatment is randomized at the lab-session level.
- Table I shows that the two arms are balanced on observed demographics, skill measures, and personality measures.

Interpretation: The contrast between lottery and self-promotion identifies whether people who want to lead are good managers. Because the assignment mechanism is randomized by session, differences in group outcomes can be attributed to the selection mechanism rather than to systematic differences in lab populations across arms.

2.5 LinkedIn validation data

- The authors collect publicly available LinkedIn data for experimental participants.
- The goal is to test whether lab-measured managerial skill predicts early-career labor-market progression.
- The main outcome is promotions per year.
- The validation sample is smaller than the lab sample, and this analysis is observational rather than experimentally causal.

Interpretation: The LinkedIn exercise asks whether the experimental measure captures something meaningful outside the lab. It is not the core causal design, but it provides external validity: people who causally contribute more as managers in the lab also appear to progress faster in real-world careers.

2.6 Retail-firm field data

- The field study is conducted with a large South American retail firm.
- The authors recruit 225 store managers and administer skill assessments analogous to the lab measures: economic decision-making, Ravens, and RMET.
- The manager survey includes demographics and work experience.
- Administrative data cover monthly store outcomes from February 2020 to May 2022.
- The store panel includes monthly sales, employment, worker demographics, manager identities, manager movements across stores, and inventory outcomes such as stockouts.

- The main performance outcome is log monthly sales. A mechanism outcome is the proportion of products out of stock at month end.

Interpretation: The field setting is a nonexperimental analogue to the lab: managers move across teams/stores, and store output can be linked to manager identity. The advantage is economic realism and large stakes; the disadvantage is that moves are not randomized, so the field design relies on assumptions about manager mobility.

2.7 Measurement of manager quality

- In the lab, manager quality is the average causal contribution of a manager to skill-adjusted team performance.
- In the field, manager quality is an estimated manager fixed effect from a store-manager two-way fixed effect model.
- Both measures attempt to isolate the part of output attributable to the manager rather than to workers, teams, stores, or time shocks.
- Mechanism variables include monitoring errors, optimal initial allocation, worker motivation fixed effects, and stockout outcomes.

Interpretation: The paper’s contribution is measurement. It does not only show that management matters; it builds a way to measure who is good at managing and what skills predict that quality.

3 Models and empirical specifications

3.1 Skill-adjusted group output in the lab

The first step is to remove the part of group performance explained by the productive skills of the manager and workers:

$$G_g = \gamma_M \sum_i X_i M_{ig} + \gamma_W \sum_i X_i W_{ig} + \varepsilon_g. \quad (1)$$

- G_g is the normalized group score for group g .
- X_i is individual productive capacity measured before the group task.
- M_{ig} equals one if person i is the manager in group g .
- W_{ig} equals one if person i is a worker in group g .
- The residual ε_g is the group’s performance after controlling for initial productive endowments.

Interpretation: This equation ensures that a manager is not credited merely because the group contains strong problem-solvers. The residual captures the part of team performance that remains after accounting for pre-measured productive skill.

3.2 Manager causal contribution

The estimated contribution of manager i is the average residual performance across groups managed by i :

$$\hat{\alpha}_i = \frac{1}{\sum_g M_{ig}} \sum_g M_{ig} \hat{\varepsilon}_g. \quad (2)$$

Interpretation: Because managers are repeatedly and randomly assigned to different teams, this average residual is a causal measure of the manager’s contribution, up to sampling noise. The repeated-assignment design is what turns residual team performance into an estimate of manager quality.

3.3 Random-effects variance of manager quality

The paper estimates the typical magnitude of manager effects with a multilevel model:

$$\hat{\varepsilon}_{gi} = \alpha_i + e_{gi}, \quad \alpha_i \sim N(0, \sigma_\alpha^2), \quad e_{gi} \sim N(0, \sigma^2). \quad (3)$$

Interpretation: The object of interest is σ_α , the standard deviation of manager contributions. If $\sigma_\alpha = 0$, managers do not systematically matter after controlling for team skill. A positive σ_α means some managers consistently cause teams to outperform and others consistently underperform.

3.4 Comparing self-promoted and lottery managers

A reduced-form comparison estimates the effect of the manager-selection regime on group outcomes:

$$G_g = \beta \text{SelfPromoted}_g + \Gamma' \text{Controls}_g + u_g. \quad (4)$$

Interpretation: The coefficient β compares teams whose managers entered through self-promotion to teams whose managers were randomly selected. A negative coefficient means that selecting the people who most want to manage worsens team output relative to random assignment.

3.5 Counterfactual selection mechanisms

The paper uses the lottery arm to simulate alternative ways of selecting managers. In each counterfactual, managers are selected according to a premeasured trait such as:

- economic decision-making skill;
- fluid intelligence;
- emotional perceptiveness;
- individual production skill, corresponding to the Peter principle.

Interpretation: The lottery arm is crucial because it provides an unbiased sample of potential managers. If the self-promotion arm were used, selection would already filter candidates and bias estimates of how traits map into manager quality.

3.6 Field store-manager fixed effects

In the retail-firm field data, the paper estimates manager fixed effects using an AKM-style model:¹

$$\log(\text{Sales}_{smt}) = \alpha + \theta_m + \psi_{s(m,t)} + \delta_t + \gamma \text{demo}_{st} + \varepsilon_{smt}. \quad (5)$$

¹“AKM-style” refers to the two-way fixed-effects framework of Abowd, Kramarz, and Margolis (1999), originally used to separate worker and firm effects. In this application, the analogous fixed effects are manager effects and store effects. Manager quality is identified from managers who move across stores, thereby linking managers and stores within the same connected mobility set. The estimated manager fixed effect is interpreted as the manager-specific contribution to log sales, net of store quality, month effects, and observed store-level controls. These effects are identified only up to a normalization within each connected set and rely on the assumption that manager moves are not driven by transitory unobserved shocks or manager–store match effects.

- θ_m is manager quality.
- ψ_s is store quality.
- δ_t captures month effects.
- $demo_{st}$ controls for store-level worker demographics.
- Identification comes from managers moving across stores, within connected sets.

Interpretation: This specification separates manager effects from store effects. A manager fixed effect is identified when managers move across stores and stores change managers. The key identifying assumption is that moves are not driven by transitory unobserved shocks or idiosyncratic manager-store match effects that would be confused with manager quality.

3.7 Worker motivation mechanism

To measure how managers affect worker effort, the paper estimates:

$$Y_{ik[m]} = \nu_m + \delta_k + \beta X_{ik} + e_{ik}. \quad (6)$$

- $Y_{ik[m]}$ is the rate at which worker i solves problems in module k while working for manager m .
- ν_m is the manager's effect on worker productivity.
- δ_k are module fixed effects.
- X_{ik} is worker i 's premeasured solo ability in module k .

Interpretation: Since managers are randomly assigned to teams, ν_m can be interpreted as a causal effect of manager m on worker productivity. The authors call this motivation because it reflects systematic changes in worker effort/productivity after controlling for workers' baseline module ability.

4 Identification strategy

4.1 Core lab identification: repeated random assignment

- Managers are randomly assigned to multiple teams.
- Workers are randomly assigned to teams.
- Group tasks are repeated across rounds.
- Individual productive capacity is measured before the team task.
- Group outcomes are adjusted for manager and worker productive skills.

Interpretation: Random assignment means that manager exposure is independent of unobserved worker ability and team composition. Repeated assignment lets the authors distinguish persistent manager quality from one-off match shocks. Controlling for individual skills ensures that the manager effect is not simply individual productivity in disguise.

4.2 Testing whether managers matter

The null hypothesis is:

$$H_0 : \sigma_\alpha = 0. \tag{7}$$

The authors use randomization inference as the preregistered inferential approach and report robustness to Wald and profile-likelihood inference.

Interpretation: The paper asks whether there is systematic within-manager correlation in residual team output. If the same manager repeatedly produces above-average residual performance across randomly assigned teams, this supports a causal manager effect.

4.3 Self-promotion versus lottery identification

- The selection mechanism is randomized at the session level.
- Participants state willingness to manage before knowing whether willingness determines the manager role.
- Table I checks balance across the arms.
- Comparing group performance across arms estimates the effect of appointing self-promoters rather than randomly selected managers.

Interpretation: The design identifies the performance consequences of a self-promotion selection rule. It does not simply compare people who want to lead with people who do not; it compares sessions in which wanting to lead determines who manages versus sessions in which it does not.

4.4 Predictors of good management

- Correlations between traits and manager quality are most interpretable in the lottery arm.
- In the self-promotion arm, the sample of managers is filtered by desire to manage, which can distort trait-performance relationships.
- Skill predictors are measured before managerial performance is realized.

Interpretation: The lottery arm provides a less selected sample of possible managers. This is why the paper places more weight on lottery-manager correlations for identifying what predicts managerial performance.

4.5 Field identification with manager mobility

- The field model uses mobility of managers across stores to separate manager fixed effects from store fixed effects.
- Identification is within connected sets of stores linked by manager moves.
- The model permits sorting on permanent manager and store components but assumes no sorting on match-specific components or transitory store shocks.
- The authors examine whether gains and losses from manager moves are symmetric and whether trends are flat around manager moves.
- They also discuss limited-mobility bias and use robustness checks consistent with AKM-style fixed-effect estimation concerns.

Interpretation: The field evidence is not randomized, so it is weaker than the lab experiment for causal identification. Its strength is that it measures managerial performance in a high-stakes real firm. The paper treats it as external validation of the lab skills and as evidence on economic magnitude.

4.6 Mechanism identification

- Monitoring errors are measured by whether workers spend effort on modules that cannot improve group performance.
- Initial allocation is measured by whether the manager assigns workers to modules according to comparative advantage.
- Motivation is measured by manager fixed effects in worker problem-solving rates, controlling for worker-module skill.
- Stockouts in the field provide an external mechanism outcome for monitoring.

Interpretation: The mechanism section is not only descriptive. In the lab, random assignment supports causal interpretation of manager effects on worker productivity. In the field, stockout evidence is more suggestive, but it connects the lab mechanism of monitoring to a real operational outcome.

4.7 Key threats and how the paper addresses them

- **Measurement error in manager effects.** Managers work with only four teams in the lab, so individual effects are noisy. The paper therefore emphasizes variance components and correlations rather than treating each individual estimate as perfectly precise.
- **Production skill confounding.** The baseline controls for individual productive skill; robustness checks use granular and nonlinear skill controls.
- **Self-selection bias.** Predictive analyses focus on lottery managers where possible.
- **External validity.** The paper validates lab measures using LinkedIn promotions and retail-store performance.
- **Field sorting.** The paper uses manager mobility, connected sets, event-study evidence, and checks on move symmetry to support field identification.

5 Tables and figures

5.1 Figure I: Overview of Experiment

Read:

- Figure I lays out the experimental timeline from the participant perspective.
- Participants first complete individual assessments: task skills, RMET, economic decision-making, Ravens, political skill, risk aversion, and related measures.
- They then participate in group testing, where each round involves a three-person team and a parallel version of the collaborative production task.
- The manager must coordinate workers across numerical, spatial, and analytical modules.

Interpretation: The figure clarifies why the experiment can distinguish manager quality from individual ability. The authors measure productive and cognitive skills before group production, then use random assignment to see whether some people systematically make teams perform better.

Economic message: The experimental design is a miniature production environment. It creates enough structure to measure managerial decisions but enough randomization to identify managerial contributions.

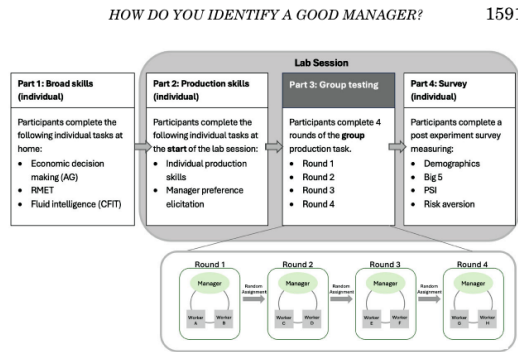


FIGURE I
Overview of Experiment

The figure describes the experiment from the perspective of participants. In the group testing phase each round involves working in one group of three people. Each round involves a parallel version of the Collaborative Production Task, described in Section II.C. The RMET is the Reading the Mind in the Eyes Test (Baron-Cohen et al. 2001). Economic decision-making is measured by the Assignment Game (Caplin et al. 2024). Ravens is Ravens Advanced Progressive Matrices. PSI is the Political Skill Inventory, and risk aversion is measured by a single question asking about risk preferences.

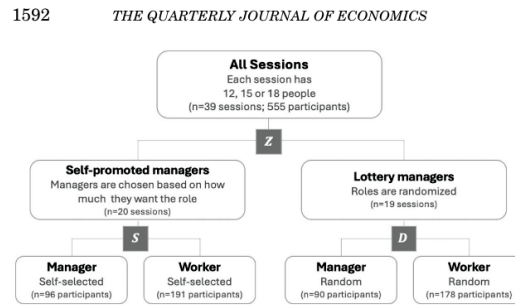


FIGURE II
Randomization Scheme

The figure describes the participant flow and randomization scheme. Z is a random variable that determines the way managers are selected. S is a self-selection mechanism, based on participants' preferences for being a manager. D is a random variable that assigns one-third of participants to be a manager.

involved 12, 15, or 18 participants and lasted around two hours

5.2 Figure II: Randomization Scheme

Read:

- Figure II shows the two sources of role assignment: session-level selection mechanism and individual role randomization.
- In the lottery arm, one-third of participants are randomly assigned to be managers.
- In the self-promotion arm, the manager role goes to participants with the strongest preference to be managers.
- Because participants state willingness to manage before knowing the selection mechanism, the preference measure is not strategically tailored to a known rule.

Interpretation: The figure makes clear that the paper has two related designs: random assignment of managers to teams for estimating manager effects, and randomized selection mechanism for comparing lottery versus self-promotion.

Economic message: The design separates two questions: Do managers matter? And are people who want to manage good managers?

5.3 Table I: Sample and Balance

Read:

- The overall lab sample is 46.3% female, average age 25.0, and has mean work experience of 2.5 years.
- 67.6% of participants are graduate students.
- Skill measures are standardized to mean zero in the full sample.
- Columns comparing the self-promoted and lottery arms show no major statistically significant imbalance.
- The RMET balance p-value is close to conventional thresholds, but the overall pattern supports successful randomization.

Interpretation: Balance matters because the later self-promotion comparison is at the session level. If the arms differed systematically in skill, demographics, or personality, worse outcomes in the self-promotion arm could be attributed to sample composition rather than the selection rule. Table I shows that this concern is limited.

Economic message: The table supports interpreting the lottery/self-promotion comparison as a difference in selection mechanisms rather than a difference in participant populations.

5.4 Table II: Associations with Willingness to Manage

Read:

- The dependent variable is stated preference to be in charge on a 1–10 scale.
- In the full sample, extraversion is strongly positively associated with wanting to manage, with a coefficient of 0.49.
- Risk appetite is also positively associated with wanting to manage, with a coefficient of 0.42.
- Female participants report lower willingness to manage, with coefficient -0.46.
- For men, production skills and economic decision-making are positively related to willingness to manage; for women, Ravens is more predictive.
- Emotional perceptiveness does not predict willingness to manage.

Interpretation: The people who want to lead are not necessarily those with the skills that later predict management performance. The willingness-to-manage measure is strongly connected to personality and risk preferences, which helps explain why self-promotion can select poorly.

Economic message: A self-nomination system may select for confidence, extraversion, and risk appetite rather than managerial skill.

TABLE I
SAMPLE AND BALANCE

	Overall sample (1)	Self-promoted arm (2)	Lottery arm (3)	<i>p</i> -value (4)
Demographics				
Female (%)	46.3	49.1	43.3	.17
Age mean (years)	25.0	25.1	24.9	.37
Work experience mean (years)	2.5	2.5	2.5	.98
Asian or Asian British (%)	53.9	52.6	55.3	.54
White (%)	18.3	17.8	18.8	.76
Black, Caribbean, or African (%)	15.5	17.0	13.9	.32
Other ethnic identity ^a (%)	12.3	12.6	12.0	.10
Graduate students (%)	67.6	70.0	65.0	.22
Skill assessments				
Task skills	0.00	−0.01	0.01	.86
Fluid intelligence (Ravens)	0.00	−0.01	0.01	.81
Economic decision-making (AG)	0.00	−0.04	0.05	.30
Emotional perceptiveness (RMET)	0.00	−0.07	0.08	.08
Personality and working styles				
Extraversion (Big5)	0.00	−0.01	0.01	.90
Openness (Big5)	0.00	−0.05	0.05	.25
Agreeableness (Big5)	0.00	−0.01	0.01	.77
Neuroticism (Big5) ^b	0.00	0.05	−0.05	.30
Conscientiousness (Big5)	0.00	−0.01	0.01	.86
Political Skill Inventory (PSI)	0.00	−0.05	0.05	.30
Indecisiveness Index (II)	0.00	0.01	−0.01	.82
Risk appetite ^c	0.00	0.03	−0.03	.49
Count	555	287	268	—

Notes. Skill assessments and personality measures are all standardized to have mean zero, standard deviation one. ^aOther ethnic identity includes mixed or multiple ethnic groups, other ethnic group, and people who preferred not to say. ^bNeuroticism (Big5) is reverse coded. *p*-values come from *t*-tests comparing means in the lottery and self-promoted arms. ^cRisk appetite refers to the willingness to take risks (see Section II.D for details).

The individual tasks were incentivized with a bonus of £0–£4. Managers received a flat payment of £25 at the end of the group experiment, plus a team bonus of £4–£12 that depended on team performance in one randomly selected round.²¹ Workers did not have performance incentives for the group tasks and were paid a

21. Managers in the top 40% of performers were paid a bonus £12, and those in the bottom 40% received £4. Other managers were paid £8. The average manager was paid £33 for the group session.

TABLE II
ASSOCIATIONS WITH WILLINGNESS TO MANAGE (“HOW MUCH DO YOU WANT TO BE A MANAGER, ON A SCALE OF 1 TO 10”)

Dependent variable: Preference to be in charge (scale of 1–10)	Regression coefficients		
	Full sample (1)	Men (2)	Women (3)
Demographic characteristics			
Female	−0.46* (0.27)		
Age (years)	0.00 (0.05)	0.01 (0.07)	−0.04 (0.08)
Graduate student	0.26 (0.36)	0.61 (0.51)	−0.02 (0.52)
Years of work experience	0.02 (0.06)	0.08 (0.08)	−0.04 (0.08)
Skill measures			
Production skills	0.27* (0.15)	0.43** (0.19)	0.03 (0.02)
Economic decision-making (AG)	0.21 (0.15)	0.60*** (0.21)	−0.18 (0.22)
Fluid IQ (Ravens)	0.23 (0.15)	0.04 (0.21)	0.42* (0.22)
Emotional perceptiveness (RMET)	−0.13 (0.15)	−0.02 (0.21)	−0.17 (0.22)
Personality and working styles			
Extraversion (Big5)	0.49*** (0.15)	0.78*** (0.23)	0.22 (0.20)
Openness (Big5)	0.23 (0.16)	0.46* (0.25)	0.15 (0.22)
Agreeableness (Big5)	−0.24 (0.17)	−0.50** (0.25)	−0.01 (0.24)
Emotional stability (Big5)	0.33** (0.15)	0.26 (0.23)	0.34 (0.21)
Conscientiousness (Big5)	−0.01 (0.16)	0.06 (0.22)	0.05 (0.24)
Political Skill Inventory	0.09 (0.16)	0.06 (0.23)	0.20 (0.24)
Risk appetite	0.42*** (0.15)	0.43** (0.21)	0.39* (0.21)
<i>n</i>	509	265	244

Notes. The dependent variable is each participant's willingness to be a manager on a scale from 1 to 10, where 1 indicates a strong preference for not being a manager and 10 indicates a strong preference for being a manager. The median response is 6 and the standard deviation is 3. In eliciting willingness to be a manager, participants were informed that they should choose the role that “best fits your skills.” The female variable is equal to one if participants identify as female, and zero otherwise. The graduate student variable is equal to one if participants were graduate students, and zero if they were undergraduates. All skill and personality variables have been standardized to be *z*-scores. Standard errors are in parentheses, calculated at the individual level. As per our preregistered analysis plan, our goal here is to explore correlations, which is why we do not report a multiple-hypothesis-test correction (Pariser and Weir 2022). * $p < .1$. ** $p < .05$.

5.5 Figure III: Histogram of Preference to Be a Manager, by Treatment Arm

Read:

- In the lottery arm, the distribution of preferences among managers is relatively uniform.
- In the self-promotion arm, managers are concentrated at the high end of willingness to manage.
- Nearly half of self-promoted managers report the maximum desire to manage.

Interpretation: The figure visually confirms that the self-promotion arm changes who becomes manager. It does not simply relabel the same manager pool; it strongly selects those who most want the role.

Economic message: The self-promotion rule creates a management pool that is psychologically different from the lottery pool. The question is whether that pool performs better or worse.

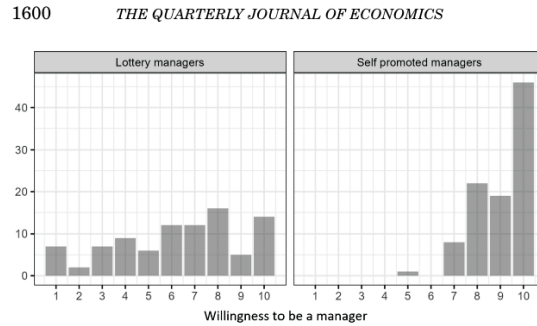


FIGURE III

Histogram of Preference to be a Manager, by Treatment Arm

The plot represents counts ($n = 96$ self-promoted managers; $n = 90$ lottery managers) of participants' responses to the question "How much do you want to be manager?" on a scale of 1–10, where 1 is "I really DON'T want to be manager" and 10 is "I really DO want to be manager."

male.²² Columns (2) and (3) present regression results separately for men and women. The relationship between high extraversion and wanting to be a manager is driven largely by men.

Figure III: Histogram of Preference to Be a Manager, by Treatment Arm

5.6 Table III: Estimating the Magnitude of Manager and Worker Effects

Read:

- The baseline preregistered estimate in column (1) gives a manager-effect standard deviation of 0.221, with randomization-inference p-value 0.03.
- Without controlling for production skills, the manager-effect standard deviation is 0.284 and the worker-effect standard deviation is 0.205.
- After controlling for manager and worker production skills, the worker-effect estimate falls to 0.036 and is not statistically significant.
- The manager-effect estimate remains stable across robustness checks: granular skill controls, nonlinear controls, familiarity controls, risk appetite, and lottery-only samples.
- The lottery-only sample still gives a positive manager-effect estimate, although precision falls because the sample is smaller.

Interpretation: The central result is that managers matter even after accounting for the productive skills of everyone in the team. Worker effects largely disappear once worker production skills are controlled, while manager effects remain. This suggests that the manager is doing more than contributing individual output; the manager is changing how the team functions.

Economic message: Good management is a productive input. The effect is not enormous relative to the entire distribution of team outcomes, but it is comparable to the team's combined productive capacity, making it economically important.

TABLE III
ESTIMATING THE MAGNITUDE OF MANAGER AND WORKER EFFECTS

	Dependent variable: Group performance (<i>G</i>)								
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Manager effect ($\hat{\alpha}_m$)	0.221	0.284	0.222	0.218	0.219	0.214	0.215	0.179	0.253
Randomization inference	.03	<.01	.04	.05	.04	.05	.04	.194	.05
Worker effect ($\hat{\alpha}_w$)	0.036	0.305	0	0	0	0.074	0.057	0	0
Randomization inference	.49	.04	—	—	—	.48	.48	—	—
Controls									
Manager's production skills ^a	0.214 (0.040)		0.206 (0.041)	* (0.041)	* (0.040)	0.220 (0.040)	0.216 (0.040)	0.256 (0.058)	
Workers' production skills ^b	0.265 (0.035)		0.242 (0.040)	* (0.040)	* (0.035)	0.266 (0.035)	0.265 (0.035)	0.220 (0.057)	
Variance of team production skills ^c			x						
Granular production skills (both) ^d				x					
Nonlinear production skills (both) ^e					x				
Manager familiarity with other participants ^f						x			
Manager risk appetite ^g							x		

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	Dependent variable: Group performance (<i>G</i>)								
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Counts									
Groups (4 rounds per person)	728	728	700	700	700	700	700	360	360
Managers	186	186	176	176	176	176	176	90	90
Workers	369	369	357	357	357	357	357	179	179
Manager sample	All	All	All	All	All	All	All	Lottery	Lottery

Notes: The dependent variable is group scores, G_g . All models include fixed effects for whether the session appointed managers through a lottery or via self-selection. Manager and worker effects are estimated using model (3). We report p-values using three different approaches to inference, the null hypothesis being tested in all cases that $\alpha = 0$. For details on our inference procedure, see Online Appendix A.4. ^aManager production skills are defined at the individual level as the standardized scores across the numerical, analytical, and spatial tasks (standard deviation = 1, mean = 0). ^bWorker production skills are defined at the group level as the mean score across workers and modules and standardized so that this variable has standard deviation = 1 and mean = 0 across all groups. ^cFor each group, variance of production skills is calculated as the spread of task production scores in the team, which includes nine separate measures of skill (three people, with three measures each). Finally, the more variance a team has in skill, the more chance they have to specialize and do well in the task. ^dGranular production skills includes all nine separate measures of skill (across numerical, spatial, analytical) measured before the group task. ^eInfluence that skills are controlled for at the granular level. ^fNonlinear production skill allows the relationship between production skill and group outcomes to be flexible, by cubic splines (fit with a generalized additive model). * indicates that skills are controlled for using splines. ^gFamiliarity with other participants is a binary variable, based on whether any of the managers reported being friends with, or knowing, any of the workers in their groups. ^hManager risk appetite is measured on a scale of 1–10.

5.7 Table IV: Difference in Performance of Teams Led by Lottery Managers Versus Self-Promoted Managers

Read:

- Column (1) estimates that self-promoted managers reduce group performance by 0.128 standard deviations relative to lottery managers.
- The coefficient remains negative across all specifications, ranging from about -0.096 to -0.128.
- Adding production skills, Ravens, economic decision-making, RMET, risk appetite, familiarity, education, work experience, Big Five personality, and political skill does not eliminate the negative coefficient.
- The effect is around 0.1 standard deviations, which the authors interpret as comparable to losing one standard deviation of manager fluid-IQ score.

Interpretation: The results show that self-promotion is a poor manager-selection mechanism in this setting. The negative coefficient persists after controlling for observed team characteristics, suggesting that the problem is not merely that self-promoted managers have worse measured skills.

Economic message: Firms that rely on self-nomination may systematically promote people who are eager to manage but not effective at managing.

5.8 Table V: Correlates of Management Performance

Read:

- In the lottery-manager sample, fluid intelligence has correlation 0.22 with manager contributions and economic decision-making has correlation 0.23.

TABLE V
CORRELATES OF MANAGEMENT PERFORMANCE

Correlation with manager contributions	Lottery managers $n = 90$ (1)	Self-promoted managers $n = 96$ (2)	Full sample $n = 186$ (3)
Skill assessments			
Fluid intelligence (Ravens)	0.22 (.04)	0.29 (.01)	0.25 (.01)
Economic decision-making (AG)	0.23 (.03)	0.10 (.34)	0.16 (.03)
Emotional perceptiveness (RMET)	-0.02 (.87)	0.19 (.07)	0.09 (.21)
Personality and working styles			
Extraversion (Big5)	-0.07 (.51)	-0.23 (.03)	-0.14 (.06)
Openness (Big5)	-0.19 (.08)	-0.04 (.73)	-0.12 (.13)
Agreeableness (Big5)	-0.18 (.10)	0.04 (.70)	-0.05 (.52)
Neuroticism (Big5)	0.10 (.37)	0.03 (.76)	0.05 (.50)
Conscientiousness (Big5)	0.00 (.99)	-0.02 (.88)	-0.02 (.84)
Political savvy (PSI)	-0.04 (.72)	-0.24 (.02)	-0.14 (.06)
Risk appetite	0.07 (.53)	-0.12 (.26)	-0.03 (.69)
Demographics			
Age	0.00 (.99)	0.15 (.16)	0.07 (.35)
Female	-0.10 (.38)	-0.10 (.33)	-0.09 (.25)
Years of work experience	-0.07 (.54)	0.07 (.54)	0.00 (.99)

Notes. Pairwise (marginal) correlation with $\hat{a}_i$ (our measure of manager contribution, conditional on the team's endowment of production, as per our prespecified model. Manager contributions come from the pre-registered model reported in Table 1, column (1). To express uncertainty, p -values are in parentheses. As per our preregistered analysis plan, our goal here is to explore correlations, which is why we do not report a multiple-hypothesis-test correction (Parker and Weir 2022).

promoted managers are overconfident about their performance in general and about their social skills in particular.

III.C. What Predicts Being a Good Manager in the Lab?

Table V explores the characteristics associated with being a good manager in the experiment. Table V separately reports the

TABLE IV DIFFERENCE IN PERFORMANCE OF TEAMS LED BY LOTTERY MANAGERS VERSUS SELF-PROMOTED MANAGERS									
Dependent var: Group scores ($\hat{G}_i$)	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Self-promoted versus lottery (standard errors)	-0.128* (0.074)	-0.127* (0.070)	-0.119* (0.069)	-0.115* (0.069)	-0.105 (0.069)	-0.100 (0.070)	-0.096 (0.070)	-0.098 (0.071)	-0.113 (0.074)
Production skills ^a		0.189	0.146	0.142	0.138	0.138	0.138	0.140	0.134
Fluid IQ (Ravens) ^b			0.104	0.098	0.094	0.104	0.104	0.103	0.101
Economic decision-making (AG) ^b				0.019	0.011	0.010	0.010	0.009	0.008
Emotional perceptiveness (RMET) ^b					0.028	0.016	0.019	0.023	0.018
Risk appetite ^c						-0.003	-0.001	0.001	0.021
Know others in experiment ^d							0.076	0.073	0.090
Education and work experience ^e								x	x
Big5 and political savvy ^f									x
Observations	728	728	728	728	728	700	700	700	700
Adjusted R^2	0.004	0.108	0.136	0.137	0.139	0.146	0.147	0.147	0.158

Notes. The dependent variable is group performance ($\hat{G}_i$). Standard errors are presented under the main coefficients in parentheses. ^aProduction skills are defined at the group level as the mean score (averaging across group members) on the individual tests of memory, spatial, and analytical reasoning and standardized to have mean zero and standard deviation one across groups. ^bThe measure is defined at the group level as the mean score (averaging across group members) of an individual measure, for example, the Fluid IQ test (Ravens standardized to have mean zero and standard deviation one). ^cRisk appetite is a self-reported measure of the risk tolerance of the group's manager, on a scale of 1-10. ^dKnow others in experiment is a binary indicator at the group level equal to one if the manager knew others of the workers. Education and work experience represent two group-level variables: education is the percent of group members who have graduated from their undergraduate program, work experience is the group mean number of years of work experience. ^eBig5 and political savvy are self-reported measures of personality and political skill, described in Section II.D. * $p < .1$, ** $p < .05$, *** $p < .01$.

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- Emotional perceptiveness, Big Five personality traits, political skill, risk appetite, demographics, and work experience do not strongly predict lottery-manager performance.
- In the self-promoted manager sample, extraversion and political skill are negatively correlated with manager performance.
- In the full sample, Ravens and economic decision-making remain the most reliable predictors.

Interpretation: The lottery column is the most important column because lottery managers are not selected based on desire to lead. In that less selected sample, the skills that matter are cognitive and decision-making skills, not demographics or broad personality traits. Among self-promoted managers, being socially self-confident may even be associated with worse performance.

Economic message: A structured skills assessment can outperform subjective selection based on who appears leader-like or wants the role.

5.9 Figure IV: Comparing Methods of Appointing Managers

Read:

- Figure IV compares six manager-selection rules: self-promotion, lottery, Ravens, economic decision-making, RMET, and individual production skill.
- Selecting on economic decision-making yields managers about 0.7 standard deviations better than self-promotion.
- Selecting on economic decision-making is also better than lottery assignment and better than selecting the most individually productive workers.
- The Peter-principle selection rule does not perform as well as selecting on economic decision-making.

Interpretation: The figure translates correlations into a selection-policy comparison. A skill can be useful as a predictor only if using it as a selection rule improves the manager pool. Economic decision-making passes this test.

Economic message: The paper's main practical recommendation is visible here: firms can improve management quality by screening for decision-making skill rather than waiting for self-promotion or promoting the best individual producer.

5.10 Table VI: Which Skills Predict Manager Performance in the Field?

Read:

- The dependent variable is the manager fixed effect from the retail-firm AKM model.
- Economic decision-making predicts manager performance with coefficient 0.192 in column (1).
- When skills are included together and demographic controls are added, economic decision-making remains positive and statistically significant, with coefficients around 0.24–0.27.
- Ravens is not positively predictive in the field sample.
- RMET is negative in the combined specifications, suggesting emotional-perception scores do not identify effective retail managers in this context.
- The full model explains about 24% of the variation in manager fixed effects.

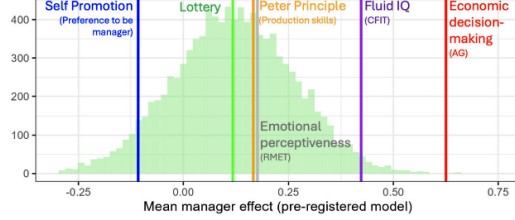


FIGURE IV
Comparing Methods of Appointing Managers

To demonstrate sampling uncertainty, the figure includes a sampling distribution (in green; color version available online) illustrating multiple draws from the random arm of the experiment. Each draw represents the mean score from a subset of 30 managers from the lottery arm ($n = 30$ was chosen as this matches the size of the subsets defined by the other regimes, e.g., the Peter principle where we select the top tercile of managers based on production skills). Note that the mean manager effect in the lottery arm is not zero, as manager effects are normalized across the whole sample (which includes self-promoted managers, who typically perform worse than their lottery counterparts). Note too that the difference between average manager quality for AG and Ravens is not statistically significant. Finally, note that the manager effects are normalized so that, across the sample of managers, the standard deviation of manager effects = 1 and the mean = 0.

TABLE VI
WHICH SKILLS PREDICT MANAGER PERFORMANCE IN THE FIELD?

	(1)	(2)	(3)	(4)	(5)
Economic decision-making	0.192** (0.0691)		0.242** (0.0968)	0.273** (0.101)	
Ravens' test score		-0.0327 (0.0903)	-0.0525 (0.119)	-0.0890 (0.137)	
Reading the Mind in the Eyes			-0.152 (0.0945)	-0.184* (0.0918)	-0.180* (0.0914)
Female					0.161* (0.0902)
Age					-0.151 (0.165)
Experience					0.0466 (0.155)
Observations	94	94	94	94	94
R ²	0.177	0.145	0.164	0.210	0.238
Fixed effects	C set	C set	C set	C set	C set
Cluster	C set	C set	C set	C set	C set

Notes: This table presents the correlation between the estimated manager's fixed effect (from equation (4)) and the assignment-game score, Ravens' test, and Reading the Mind in the Eyes test. To recover the manager fixed effects, we estimate a two-way fixed effect model (AKM), regressing log monthly store sales on both store and manager fixed effects, controlling for time fixed effects and average demographic characteristics at the store level including gender, marital status, type of contract, unionized, age, experience. This regression is a cross section at the manager level. All right-hand-side variables are in standard deviations. Sample: managers who answered the assignment game, excluding connected set 0. Standard errors reported in parentheses are clustered at the connected-set level. * $p < .1$, ** $p < .05$, *** $p < .01$.

monographic factors) explain managerial performance. Column (5) shows that around 24% of the variation in manager fixed effects is explained by skill measures, age, gender, and experience ($R^2 = 0.238$). This result is very close to findings from the lab experiment: the same vector of ex ante observable characteristics explain 20% of variation in causally identified managerial contributions (see Online Appendix Table B.2, column (11)). The similarity suggests that despite the many differences between the lab and field settings we study, there is significant overlap in the role played by skills and demographic factors in managerial performance in both contexts.

IV.C. Quantifying the Impact of Managerial Selection in the Field

Interpretation: The field evidence validates the lab result that economic decision-making skill is a strong predictor of managerial performance. The result is especially important because the field outcome is not a lab score but sales in a large retail firm.

Economic message: A one standard deviation increase in economic decision-making is associated with roughly 4.9% higher monthly sales, which the authors translate into about US\$794,000 per store per year.

5.11 Table VII: Which Mechanisms Predict Managerial Performance in the Lab?

Read:

- Initial allocation is positively related to manager quality: a one standard deviation improvement predicts 0.204 standard deviations higher manager performance.
- Monitoring errors are strongly negatively related to manager quality: a one standard deviation increase in errors predicts about 0.335 standard deviations lower performance.
- Worker motivation is strongly positively related to manager quality: a one standard deviation improvement predicts 0.391 standard deviations higher performance.
- When all channels are included, monitoring errors and worker motivation remain especially strong predictors.
- The full model explains 29.2% of the variation in manager contributions.

Interpretation: The table decomposes what good managers do. The most important channels are not simply choosing the first assignment well; good managers keep workers motivated and monitor whether work is being directed toward productive bottlenecks.

Economic message: Managerial value comes from both allocation and ongoing management. A manager who allocates well but fails to monitor or motivate may not be effective.

TABLE VII
WHICH MECHANISMS PREDICT MANAGERIAL PERFORMANCE IN THE LAB?

	Dependent variable: α_i				
	(1)	(2)	(3)	(4)	(5)
Initial allocation	0.204*** (0.072)			0.178*** (0.068)	0.136** (0.064)
Monitoring errors		-0.335*** (0.069)		-0.321*** (0.068)	-0.348*** (0.064)
Worker motivation			0.391*** (0.068)		0.383*** (0.064)
Observations	185	185	185	185	185
R^2	0.042	0.113	0.154	0.145	0.292
Adjusted R^2	0.037	0.109	0.150	0.136	0.281

Notes. All predictors are measured at the level of individual managers and are standardized across the sample to have standard deviation one and mean zero. *Initial allocation* measures the frequency with which a manager finds the optimal initial allocation; *Monitoring errors* is based on the final allocation of workers to tasks and measures the number of times a worker was expending effort on a module that could not improve group performance; *Worker motivation* is measured by each manager's causal effect on the rate at which individual workers solve puzzles on different modules (controlling for worker differences in module skill, which were assessed before the group task). Standard errors are in parentheses. * $p < .1$, ** $p < .05$, *** $p < .01$.

in manager's performance in terms of motivation improves overall managerial performance by 0.39 standard deviations. These estimates are essentially unchanged in a model that simultaneously controls for all three variables (column (5)).

Table VII also allows for a comparison of the combined impact of decision-making (allocating and monitoring, presented in column (4)) versus productivity (motivation, presented in column (3)). Both of these broad channels have similar explanatory power, with each independently explaining roughly 15% of the variance in managerial contributions.

V.E. Mechanisms in the Field

We find suggestive evidence in support of the hypothesis that monitoring is an important channel for managerial performance. Specifically, we examine stockouts, a situation in which managers fail to monitor stock levels, leading to products becoming unavail-

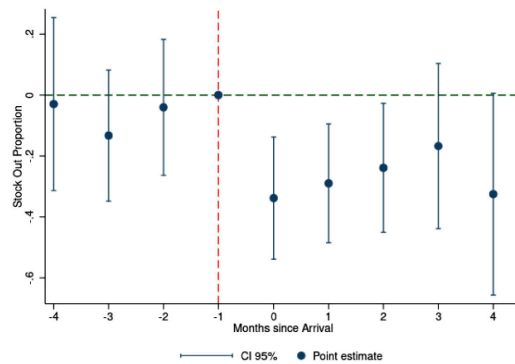


FIGURE V

The Impact of Above-Average Managers on Stockouts: Event Study

The figure shows the results from estimating an event-study design using the arrival of a manager with a log sales fixed effect bigger than the mean store log sale fixed effect across preexisting managers in the store. The dependent variable is the proportion of items for which there is zero stock at the end of each month. Manager fixed effects are estimated using equation (4). Standard errors are clus-

5.12 Figure V: The Impact of Above-Average Managers on Stockouts: Event Study

Read:

- Figure V studies the arrival of an above-average manager at a store.
- The outcome is the proportion of products with zero stock at month end.
- The authors estimate that an above-average manager reduces stockouts by roughly 0.25 percentage points.
- The mean stockout rate is 6.83%, so the effect is about 3.7% of the mean.
- Economic decision-making skill is also associated with lower stockouts: a one standard deviation increase reduces stockouts by about 0.35 percentage points.

Interpretation: The figure connects the lab monitoring mechanism to a field operational measure. A stockout is a concrete failure of monitoring and operational response. The result suggests that good managers improve sales partly by preventing operational bottlenecks.

Economic message: Management affects real outcomes through specific actions, not only through abstract leadership quality. Monitoring inventories and addressing bottlenecks are valuable managerial tasks.

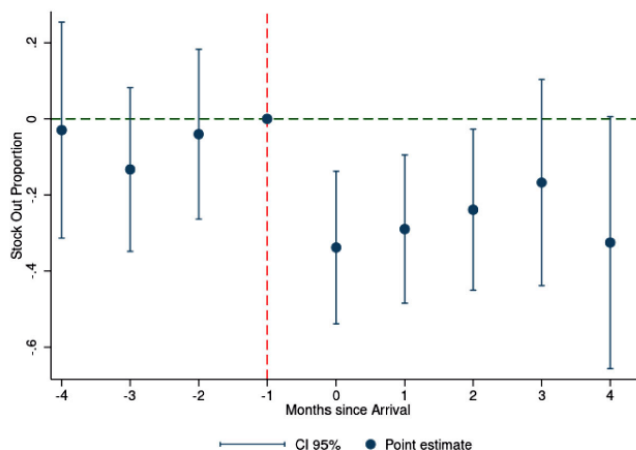


FIGURE V

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Figure V: The Impact of Above-Average Managers on Stockouts: Event Study

6 Interpretive synthesis

6.1 What the lab establishes

The lab experiment establishes three facts. First, manager effects exist and are economically meaningful. Second, self-promotion is a poor selection rule. Third, economic decision-making and fluid intelligence predict who will manage well. The cleanest evidence comes from repeated random assignment, which makes manager exposure exogenous.

6.2 What the field studies add

The LinkedIn validation shows that lab-measured manager quality predicts career progression. The retail-firm study shows that skills measured in a field manager sample, especially economic decision-making, predict store sales and stockouts. These exercises do not replace the lab's causal identification, but they show that the skills measured in the lab are relevant outside the lab.

6.3 Why economic decision-making matters

Economic decision-making skill is closely related to the manager's core problem: allocating scarce attention and worker effort under constraints. A good manager must identify comparative advantage, prioritize bottlenecks, and monitor whether marginal effort improves output. These tasks resemble economic decision-making more than generic extraversion or willingness to lead.

6.4 Why self-promotion can fail

Self-promotion selects people who want to manage. Table II shows that this desire is related to traits like extraversion and risk appetite. But Table V shows that these traits do not reliably predict managerial performance and can be negatively related to performance among self-promoters. This creates a selection problem: the people most eager to lead may not be those most able to lead.

6.5 What firms should learn

Firms should widen the candidate pool and use structured assessments. A low-cost first step is to screen for economic decision-making skill. Larger firms could also use repeated group-based assessment centers, where prospective managers rotate across teams and are evaluated on causal contributions to team output.

7 Short summary

- The paper develops a new way to identify good managers before promotion.
- The main lab experiment has 555 participants and randomly assigns managers to multiple teams.
- Manager quality is measured as the manager’s average causal effect on skill-adjusted team output.
- A one standard deviation increase in manager quality raises team performance by about 0.22 standard deviations.
- People who self-promote into management perform about 0.10 standard deviations worse than lottery managers.
- Desire to manage is correlated with extraversion and risk appetite, but those are not the traits that reliably predict managerial performance.
- Economic decision-making and fluid intelligence predict manager quality in the lottery arm.
- Economic decision-making is the strongest predictor of retail-store manager performance in the field.
- A one standard deviation improvement in field manager quality raises annual per-store sales by about 25%.
- Good managers monitor bottlenecks, allocate workers according to comparative advantage, and motivate workers.
- The paper recommends skill-based management screening rather than relying on self-promotion, demographics, personality, or individual productivity alone.

8 Conclusion

8.1 Core conclusion

Weidmann et al. show that managerial quality can be measured prospectively with a structured, skills-based assessment. The paper’s central contribution is to causally identify manager effects in the lab through repeated random assignment and then validate the resulting skill measures in real-world labor-market and retail-firm settings.

8.2 Economic intuition

Management is valuable because teams do not automatically use their skills efficiently. Workers differ in comparative advantage, effort must be directed toward productive bottlenecks, and workers may need

motivation. Good managers solve these coordination and allocation problems. The skills that predict success are therefore decision-making and cognitive skills rather than merely wanting to be in charge.

8.3 What the paper does not prove

The lab task does not capture every part of real management, such as conflict resolution, long-term mentoring, or relationship management. The field evidence is not randomized and relies on manager mobility assumptions. The results also come from specific settings: a lab task and one large retail firm. The paper therefore provides strong evidence about skill-based identification of managers, but not a universal formula for all firms and managerial roles.

8.4 Final takeaway

The paper turns manager selection into a measurement problem. Firms can improve performance by assessing managerial skills directly, especially economic decision-making, and by avoiding selection systems that rely too heavily on self-promotion or individual-worker productivity. Good management is not simply who wants to lead; it is who can make teams produce more than the sum of their parts.